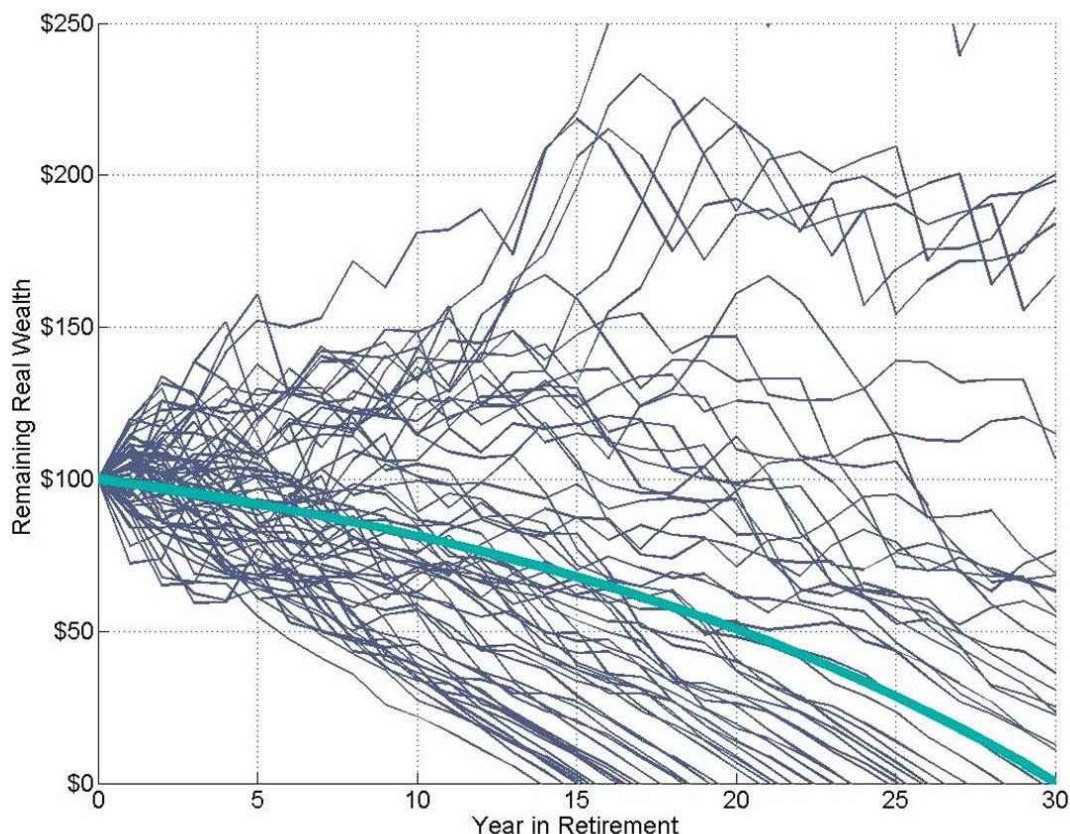


*Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds*



The actual historical outcomes vary greatly for reasons outside the control of these hypothetical retirees. They all use the same retirement withdrawal strategy, but their experiences with that strategy could be good or bad through no fault of their own. This is the randomness created by sequence risk. Some retirees will be able to spend more aggressively than others based on the luck of the market returns they experience in retirement.

Exhibit 3.3 provides another reflection about the historical volatility of outcomes shown previously. Instead of defining results in terms of remaining wealth, Exhibit 3.3 provides the current withdrawal rates as time progresses. When wealth grows, the necessary withdrawal rate declines. When wealth decreases, the necessary withdrawal rate increases. This exhibit helps illuminate how sequence-of-returns risk works, as an